

*does* begin. Which prospectuses should you read? Surely not those of all of the funds in the industry, nor even the 1,000 or so funds that might be covered in the leading statistical services, nor even the hundreds that might be involved if you decided on, say, a common stock fund. Perhaps a selection of prospectuses from among a dozen stock funds, half as many bond funds, and half that many money market funds, would be appropriate. That gives you just over 20 prospectuses to wade through and review the important points. It is a worthwhile investment of your time.

Where do you begin the process of selecting sample prospectuses? The most logical starting point is to review the prospectuses of some of the funds that comprise the better-known mutual fund complexes. Most fund complexes have been in business for 50 years or more, which suggests that they are doing *something* right. But do not exclude smaller funds or fund families that you may have learned about through mutual fund evaluation services and financial publications. The advice of friends who are experienced investors is often helpful, as are suggestions from your lawyer or accountant. For investors who need more professional advice, reputable financial planners and stockbrokers can provide a useful service at an additional cost.

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*While it seems trivial to suggest that the canny investor begin by reading fund prospectuses, that is where it really does begin.*

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How should the canny investor read the prospectus? It would be unrealistic to suggest that you read the entire document from cover to cover. For the long-term investor, knowing the fund's objectives, investment policies, returns, risks, and total costs (sales charges, annual expenses, redemption fees, etc.) is probably sufficient. The shorter-term active investor should also know the fund's key transaction policies,